UNIT III
FINAL ACCOUNT

Illustration 2

The following balances were extracted from the books of Thomas as on 31st March, 2018

Particulars	₹	Particulars	₹
Purchases	75,000	Capital	60,000
Returns inward	2,000	Creditors	30,000
Opening stock	10,000	Sales	1,20,000
Freight inwards	4,000	Returns outward	1,000
Wages	2,000		
Investments	10,000		
Bank charges	1,000		
Land	30,000		
Machinery	30,000		
Building	25,000		
Cash at bank	18,000		
Cash in hand	4,000		
	2,11,000		2,11,000

Additional information:

i. Closing stock Rs. 9,000

ii. Provide depreciation @ 10% on machinery

iii. Interest accrued on investment Rs. 2,000

Prepare trading account, profit and loss account and balance sheet.

Solution

In the books of Thomas

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2018 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		10,000	By Sales	1,20,000	
To Purchases	75,000		Less: Returns inward	2,000	1,18,000
Less: Returns outward	1,000	74,000			
To Freight inwards		4,000	By Closing stock		9,000
To Wages		2,000			
To Gross profit c/d		37,000			
		1,27,000			1,27,000
To Depreciation on machinery		3,000	By Gross Profit b/d		37,000
To Bank charges		1,000	By Accrued interest on investment		2,000
To Net profit (transferred to capital a/c)		35,000			
		39,000			39,000

Balance Sheet as on 31st March, 2018

Particulars	₹	₹	Particulars	₹	₹
Capital	60,000		Land		30,000
Add: Net profit	35,000	95,000	Building		25,000
Creditors		30,000	Machinery	30,000	
			Less: Depreciation	3,000	27,000
			Investment	10,000	
			Add: Accrued interest	2,000	12,000
			Stock-in-trade		9,000
			Cash at bank		18,000
			Cash in hand		4,000
		1,25,000			1,25,000

Illustration 3

Given below are the balances extracted from the books of Nagarajan as on 31st March, 2016.

Particulars	₹	Particulars	₹
Purchases	10,000	Sales	15,100
Wages	600	Commission received	1,900
Freight inwards	750	Rent received	600
Advertisement	500	Creditors	2,400
Carriage outwards	400	Capital	5,000
Cash	1,200		
Machinery	8,000		
Debtors	2,250		
Bills receivable	300		
Stock on 1st January, 2016	1,000		
	25,000		25,000

Prepare the trading and profit and loss account for the year ended 31st March, 2016 and the balance sheet as on that date after adjusting the following:

i. Commission received in advance Rs. 400

ii. Advertisement paid in advance Rs. 150

iii. Wages outstanding Rs. 200

iv. Closing stock on 31st March 2016, Rs. 2,100

Solution

In the books of Nagarajan

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		1,000	By Sales		15,100
To Purchases		10,000	By Closing stock		2,100
To Wages	600				
Add: Outstanding	200	800			
To Freight inwards		750			
To Gross profit c/d		**4,650**			
		17,200			17,200
To Advertisement	500		By Gross profit b/d		4,650
Less: Prepaid	150	350	By Commission received	1,900	
advertisement		400	Less: Received in	400	1,500
To Carriage outwards			advance		600
To Net profit (transferred to capital a/c)		**6,000**	By Rent received		
		6,750			6,750

Balance Sheet as on 31st March, 2016

Particulars	₹	₹	Particulars	₹	₹
Capital	5,000		Machinery		8,000
Add: Net profit	6,000	11,000	Stock in trade		2,100
Creditors		2,400	Debtors		300
Commission received in			Bills receivable		2,250
advance		400	Advertisement prepaid		150
Outstanding wages		200	Cash		1,200
		14,000			14,000

Illustration 4

Consider the following balances extracted from the books of Jain as on 31st December, 2016.

Prepare the final accounts.

Particulars	₹	Particulars	₹
Capital	20,000	Office Salaries	6,600
Debtors	8,000	Establishment expenses	4,500
Creditors	10,500	Selling expenses	2,300
Purchases	60,000	Furniture	10,000
Sales	80,000	Cash at bank	2,400
Income tax of Jain paid	500	Miscellaneous receipts	600
Opening stock	12,000	Drawings	4,800

Adjustments

i. Salaries outstanding for December, 2016 amounted to Rs. 600

ii. Provide depreciation on furniture @ 10% p.a.

iii. Provide interest on capital for the year @ 5% p.a.

iv. Stock on 31st December, 2016 Rs. 14,000

Solution

In the books of Jain

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening Stock		12,000	By Sales		80,000
To Purchases		60,000	By Closing Stock		14,000
To Gross Profit c/d		**22,000**			
		94,000			94,000
					22,000
To Office salaries	6,600		By Gross Profit b/d		
		7,200			600
Add: Outstanding	600		By Miscellaneous receipts		
		4,500			
To Establishment expenses					
		2,300			
To Selling expenses					
		1,000			
To Depreciation on furniture (10,000 x 10%)					
		1,000			
To Interest on capital (20,000 x 5%)					
		6,600			
To Net profit (transferred to capital A/c)					
		22,600			22,600

Balance Sheet as on 31st December, 2016

Liabilities		₹	₹	Assets	₹	₹
Capital		20,000		Furniture	10,000	
Add: Net profit		6,600		Less: Depreciation	1,000	9,000
Add: Interest on capital		1,000		Stock in trade		14,000
		27,600		Debtors		8,000
Less: Drawings	4,800			Cash at bank		2,400
Income tax	500	5,300	22,300			
Creditors			10,500			
Office salaries outstanding			600			
			33,400			33,400

Illustration 5

Following is the Trial Balance of a trader as on 31st Chaitra 2074.

Particulars	**Debit**	**Particulars**	**Credit**
Opening stock	50000	Capital	300000
Purchase	300000	10% Loan	40000
Cash	20000	Sales	600000
Salary	30000	Creditors	50000
Rent	10000	Commission	20000
Discount	5000		
Debtors	60000		
Wages	40000		
Carriage	15000		
Advertisement	7000		
Equipment	353000		
Furniture	100000		
Sundry Expenses	20000		
Total	**1010000**	**Total**	**1010000**

Additional Information:

i. Closing stock: 200000
ii. Interest on loan is due for one year.
iii. Outstanding salary: 4000
iv. Depreciation on equipment: 10%
v. Provision for bad debts to be made at 10%

Required: a. Trading Account
b. Profit and Loss Account
c. Balance sheet

Trading and P/L A/C

Particulars	**Amt**	**Particulars**	**Amt**
To opening stock	50000	By closing stock	200000
To purchase	300000	By sales	600000
To wages	40000		
To carriage	15000		
To Gross profit	**395000**		
	800000		**800000**
To salary 30000 (+) O/S salary 4000	34000	By gross profit	395000
To rent	10000	By commission	20000
To discount	5000		
To advertisement	7000		
To sundry expenses	20000		
To outstanding loan (10% of 40000)	4000		
To depreciation on equipment	35300		
To provision for bad debt	6000		
To net profit	**293700**		
	415000		**415000**

Balance Sheet

Liabilities	**Amt**	**Assets**	**Amt**
Capital 300000 Add: Net profit 293700	593700	Closing stock Cash	200000 20000
Loan 400000 Add: O/S loan 40000	44000	Debtors 60000 Less: provision for bad debt 6000	54000
Creditors	50000	Equipment 353000 Less: Dep^{n} 35300	317700
Outstanding salary	4000	Furniture	100000
	691700		**691700**

Illustration 6

Following is the Trial Balance of a trader as on 31st Chaitra 2074.

Particulars	**Debit**	**Credit**
Opening stock	40000	
Purchase	450000	
Purchase expenses	8000	
Wages	80000	
Machinery	90000	
Furniture	30000	
Debtors	50000	
Salaries	35000	
Bad debts	2000	
Cash	50000	
Sales		500000
Capital		250000
Creditors		80000
Interest		20000
Total	**1010000**	**1010000**

Additional Information:

i. Salary due: 5000

ii. Pre-paid insurance premium 1000

iii. Closing stock of 100000

iv. Depreciate machinery by 15%

v. Additional bad debts 3000

vi. Provision for doubtful debts 5%

Required: a. Trading Account

b. Profit and Loss Account

c. Balance Sheets

Trading and P/L A/C

Particulars	**Amt**	**Particulars**	**Amt**
To opening stock	40000	By closing stock	100000
To purchase	450000	By sales	500000
To purchase expenses	8000		
To wages	80000		
To Gross profit	**22000**		
	600000		**600000**
To salaries 35000 (+) O/S salary 5000	40000	By gross profit	22000
To Insurance premium 10000 (-) Prepaid 1000	9000	By interest	20000
To stationery	5000		
To bad debts (old)	2000		
To bad debt 3000 (+) provision for bad debt 2350	5350		
To depreciation on machinery	13500		
To Net loss			**32850**
	74850		**73450**

Balance Sheet

Liabilities	**Amt**	**Assets**	**Amt**
Capital 250000 Less: Net loss 32850	217150	Closing stock	100000
		Cash	50000
Creditors	80000	Debtors 50000 **Less:** bad debt 3000 **Less**: Provision for bad debt 2350	44650
Outstanding salary	5000		
		Machinery 90000 Less: Dep^{n} 13500	76500
		Furniture	30000
		Prepaid insurance	1000
	302150		**302150**